Political Risk Monitor - October 2026

送信者: EG Analytics 受信日時: 2026-10-26 22:47

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26 Oct 2026 09:46 EDT Read full report

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Chart of the month

As the global economy faces growing exposure to geopolitical tensions, climate-related disruptions, and supply shocks, cost-of-living crises have emerged as a defining macroeconomic and political risk. They are eroding real wages, unsettling inflation expectations, and pressuring incumbent governments to adopt costly interventions. Although the global economy has remained resilient, that resilience has become increasingly uneven and expensive, while the risk that geopolitical shocks will trigger macroeconomic and market spillovers is rising (see: Top Calls—Sustained Middle East conflict tips global growth risks to downside , 6 October 2026). As the chart above shows, most policy responses have relied on price-suppressing measures rather than targeted income-supporting transfers, which are more effective and cost-efficient. That choice has added to fiscal strain at a time when buffers are already limited. With El Niño, high fertilizer prices, and ongoing conflicts posing renewed food price risks into 2027, the risk of further distortionary interventions remains elevated, leaving little fiscal room to absorb the next shock.

Trends in global political stability

Geopolitical stability declined again year-on-year in September, though less sharply than in previous months, and it edged up from the prior month, consistent with resilience in the face of shocks. The Economic component remains the main driver of the deterioration, suggesting that the buffers supporting this resilience may be wearing thin (see: Governments fiscal squeeze narrows room for next downturn , 14 October 2026). Meanwhile, the Government component recorded its first positive change since 2024, offering a tentative sign of improvement amid the broader deterioration.

Countries are ranked by level of political stability (0-100), as measured by Eurasia Group's Global Political Risk Index (GPRI). The dots represent the country's level of stability; the overlaid bar and whisker chart summarizes the historical distribution of GPRI scores. The colored dots represent the short-term political trajectory, which predicts the impact of politics on a country's economic and investment climate over the next six months.

Trajectory updates

These maps present Eurasia Group's updated short-term (six-month) and long-term (24-month) political trajectories. In September (since the last report) and October:

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Brazil: The short-term trajectory shifted from neutral to positive after Flavio Bolsonaro's first-round gains, raising prospects for stronger fiscal reform in 2027 and swift pro-investment regulatory measures. The risk of declining popular support and institutional deterioration weighs on the long-term trajectory, which remains neutral for now but will likely be reassessed in the coming weeks (see: Short-term trajectory turns positive with Bolsonaro now the favorite , 4 October 2026).
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El Salvador: The short-term trajectory improved from neutral to positive after President Nayib Bukele's administration revived its frozen IMF program. The fund showed flexibility on pensions and bitcoin, and a successful review would unlock near-term financing. The long-term trajectory remains neutral, though close to positive, amid uncertainty over Bukele's willingness to pursue politically sensitive pension reform and civil service overhaul (see: IMF breakthrough lifts short-term trajectory as harder reforms get deferred , 7 October 2026).

EG geopolitical trends

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The purchasing power parity (PPP)-GDP-weighted average of Eurasia Group's political trajectories fell in September, although it remained in improving territory, holding just above zero after reaching its highest level in over a year in June and July. The decline reflects the gradual fading of the buffers that had supported positive momentum, rather than any single shock. Looking ahead, the persistence and magnitude of the Iran conflict's inflationary spillovers could become a critical factor shaping the political landscape in the coming months (see: Iran war inflation shock threatens incumbents' electoral prospects , 19 October 2026).

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Volatility in political stability among the 89 countries tracked by Eurasia Group's GPRI continued to decline in September, extending a persistent downward trend over the past year. The steady compression—to 12.9 from 13.8 a year earlier—reflects a gradual convergence in political stability scores across countries, even as the global outlook shows signs of renewed pressure.

Notable year-on-year shifts in political stability

Highlighted countries are selected based on significant changes in underlying GPRI assessments or relevance to topical issues. The charts compare changes over the reporting period across the four dimensions of the GPRI stability assessments: government, society, security, and economy.

Tracking changes in macroeconomic vulnerability and political capacity

Each month, Eurasia Group updates country scores that estimate forward-looking macro vulnerability (risk of welfare loss) and government political capacity (ability to respond to shocks and market pressure). See our methodology here .

Notable year-on-year movements

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Argentina's political capacity has improved, reflecting President Javier Milei's consolidation of power and stabilization gains. These developments have kept Milei relatively popular compared with past presidents and made him the early favorite to win reelection. A disorganized opposition and support levels consistent with incumbent reelection strengthen his position. Macroeconomic vulnerability has worsened slightly and will probably not change significantly before the vote, even though much of the electorate still faces economic hardship.

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Hungary's political capacity has also improved, as the new Tisza government, led by Prime Minister Peter Magyar, governs with a constitutional majority and strong internal cohesion. Magyar remains firmly in control despite a slight decline in opinion polls. Although inflation is easing, Hungary's economic recovery faces tighter constraints from drought and energy shocks, strained public finances, and weaker German demand, leading to worsening macroeconomic vulnerability.

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Turkey's political capacity and macroeconomic vulnerability have both worsened. Geopolitical gains from the Iran war modestly strengthened President Recep Tayyip Erdogan, but economic fragility more than offset those benefits. Higher energy prices, energy-security risks, and reliance on Iranian gas threaten disinflation, the current account, fiscal stability, and investor confidence. More recently, on 15 October, MSCI froze additions to its Turkish indices and suspended upward weighting adjustments. It also warned that Turkey could lose its emerging-markets status in 2027.

Year-on-year movements

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